

NORTHPOINT

TRADER BACKING

THE BOOTCAMP · THE MODULES · +48 HRS OF RECORDED VIDEO

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This book is the written companion to the recorded modules. It teaches the language, the structure and the discipline of the desk – WHAT we do and HOW we think. The exact settings of the house tools are handed out personally, never printed.

MODULE / 01

Futures, from zero

01 What a futures contract is

02 Ticks, points & contract sizes

03 Micros vs minis

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What a futures contract is

A futures contract is a **standardized agreement** to buy or sell something at a fixed price on a future date. Standardized means the exchange — for us, the CME in Chicago — decides everything about the contract except the price: the size, the tick, the expiry, the hours. The only thing traders negotiate is price, which is exactly why futures markets are so clean to read: every participant is trading the identical instrument, on the identical terms, in one central order book.

The contracts we trade track **stock indexes** — the Nasdaq-100 and the S&P 500. Nobody delivers a basket of a hundred stocks at expiry; index futures are **cash-settled**. You never own shares. You own a position whose value moves with the index, and your profit or loss settles in dollars, every day.

Two properties make futures the natural instrument for this desk. First, **leverage**: you post a small margin deposit to control a much larger notional value, which is why risk discipline is not optional here — the same lever that multiplies wins multiplies mistakes. Second, **symmetry**: selling short is as natural as buying long. There is no borrow, no restriction — a short is just the other side of the same trade.

Contracts expire quarterly — March (H), June (M), September (U), December (Z). About a week before expiry, volume migrates to the next contract; that migration is called **rollover**. You always trade the front contract, the one carrying the volume.

Ticks, points & contract sizes

A **tick** is the smallest step price can move. A **point** is a whole unit of the index. Every contract defines both, and together they define what a move is worth in dollars. This is arithmetic you must know cold, because position sizing — module 05 — is built on it.

CONTRACT	INDEX	TICK	TICK VALUE	POINT VALUE
MNQ · Micro Nasdaq	Nasdaq-100	0.25 pt	\$0.50	\$2
NQ · E-mini Nasdaq	Nasdaq-100	0.25 pt	\$5.00	\$20
MES · Micro S&P	S&P 500	0.25 pt	\$1.25	\$5
ES · E-mini S&P	S&P 500	0.25 pt	\$12.50	\$50

Read the table like a trader: a 20-point move on MNQ is **\$40 per contract**; the same move on NQ is **\$400 per contract**. Same chart, same move, ten times the money — and ten times the damage when you are wrong. When you hear someone at the desk say "twenty-three points of risk", you should instantly hear the dollar figure for the size they carry. If you have to reach for a calculator mid-session, you are not ready to click.

Micros vs minis

Every E-mini has a micro twin at exactly **one tenth** the size. MNQ is one tenth of NQ; MES is one tenth of ES. The charts are identical — same price, same structure, same levels — only the dollars per point change.

Micros are not a toy tier; they are a **precision tool**. They let you size risk finely (ten micros equal one mini, so you can hold any size between), they let you learn with real money and real fills without real destruction, and they let a funded account breathe: on a \$50k evaluation, risking a fixed daily amount with micros keeps single mistakes survivable. The desk's rule of thumb: **earn size, never guess it** — you move from micros toward minis when your journal proves the edge at the current size, not when impatience suggests it.

One honest caveat: micro commissions are proportionally heavier per dollar traded. That is the tuition you pay for precision, and it is worth every cent while you build the sample that proves you belong at bigger size.

Sessions and market hours

Index futures trade almost around the clock, but the clock has a shape, and the desk lives by it. All times below are **New York time** — the only clock this desk uses.

Window	NY Time	What it is
Globex open	Sun 18:00	the week begins
Asia	18:00 – 02:00	thin, slow, sets overnight levels
London	02:00 – 09:30	volume returns, overnight range builds
New York RTH	09:30 – 16:00	the cash session – where we work
Daily halt	17:00 – 18:00	the only hour futures truly close

The half-day around the New York cash open carries the volume, the news and the institutional flow. Overnight matters to us as **context** — where Asia and London left their highs and lows — but the work happens in the New York morning, when the real participants are present and moves have fuel. Trading a dead window because you are bored is not trading; it is donating.

Your first chart

A candle compresses a window of time into four prices: **open, high, low, close**. The body spans open to close; the wicks reach the extremes. A candle with a long lower wick says sellers pushed and were refused. A candle that closes on its high says buyers finished in control. One candle is a sentence; a chart is the conversation.

The desk reads two clocks of the same market: a slower chart for **context** — where are we in the day's structure, where are the levels — and a fast chart for **execution** — the precise moment the plan becomes a click. Neither replaces the other. Context without execution is commentary; execution without context is gambling.

Set your chart to New York time, keep the palette clean enough to read in one glance, and resist the beginner's urge to stack indicators until the price disappears. Everything this bootcamp teaches is visible on a bare chart first; tools come later, and every tool on the desk's screen earns its place by answering one question the bare chart cannot.

MODULE / 02

Market structure

01 Highs, lows and swings

02 Trend vs range

03 Support & resistance

04 Timeframes and context

05 Reading a full session

Highs, lows and swings

Strip everything from a chart and what remains is a sequence of **swings**: price pushes, pauses, pulls back, pushes again. Each push leaves a swing high or a swing low — a local extreme with lower activity on both sides. These pivots are the skeleton of structure, and naming them precisely is the first fluency this desk demands.

- **HH / HL** — higher high, higher low: buyers keep paying more and defending higher. Bullish structure.
- **LL / LH** — lower low, lower high: sellers press further and cap every bounce. Bearish structure.
- **Break of structure** — the moment a defended pivot gives way; the market's vote just changed.

Structure is objective. Two traders can argue forever about "bullish or bearish", but whether the last swing low held or broke is a fact on the chart. The desk's language is built from those facts — when a teammate says "we just took the previous high and made a higher low", that sentence has exactly one meaning, and everyone sees the same thing.

Trend vs range

Markets alternate between two regimes, and every mistake of strategy is really a mistake of regime. A **trend** is structure stacking in one direction — HH/HL after HH/HL — where pullbacks are opportunities and fading strength is expensive. A **range** is the absence of that stacking: price oscillates between a defended high and a defended low, breakouts fail more often than they follow through, and the middle of the box is a no-man's-land where nothing good happens.

The uncomfortable statistical truth: markets spend most of their time ranging. The edge is not predicting which regime comes next; it is **identifying the current regime honestly** and either applying the tactics that fit it or standing aside. Trend tactics in a range bleed you with false breaks. Range tactics in a trend put you in front of a train.

The transition is where fortunes change hands: a range that finally breaks with conviction becomes the start of a trend, and the traders trapped on the wrong side become its fuel. Which is why the next module — liquidity — is really the study of who is trapped where.

Support & resistance

A level is a price where something already happened: a swing was defended, a session opened or closed, an overnight extreme was printed. **Support** is a level below where buying appeared before; **resistance** is a level above where selling appeared before. They matter not from magic but from **memory** — the traders who acted there before still have their positions, their regrets, and their orders.

The levels this desk marks every single day are few and always the same:

- **PDH / PDL** — the previous day's high and low
- **ONH / ONL** — the overnight session's high and low
- **The open** — where the New York cash session starts
- Yesterday's close, and any untouched extreme from recent days

Two behaviors matter at a level: **rejection** — price tests it and leaves fast — and **the flip** — a broken resistance behaves as new support (and vice versa), because the trapped side now defends the price that once trapped them. Few levels, watched carefully, beat many levels watched vaguely.

Timeframes and context

Every timeframe tells the truth about its own scale and nothing else. The 1-minute chart is honest about the last twenty minutes; it knows nothing about the week. Trading a fast chart without a slow one is how you end up shorting a pullback in a bull day and calling it a trend change.

The desk reads **top-down, always in the same order**: the higher timeframe gives the regime and the levels; the middle gives today's structure; the execution chart gives the moment. The rule that keeps it clean: **bias flows down, entries flow up**. You are allowed to refine a higher-timeframe idea on the small chart; you are not allowed to invent a trade on the small chart that the big picture contradicts.

And when timeframes disagree — the day says up, the hour says down — that is not a puzzle to force; it is the market telling you the picture is unclear. Unclear is a position too: flat.

Reading a full session

A New York session has anatomy. Learn it and the day stops feeling random:

- **Before the bell** — overnight has drawn its range; the levels are marked; the plan is written. You know what would make you act and what keeps you flat.
- **The open** — the most information-dense minutes of the day. The market chooses: drive away from the open with conviction, or rotate and auction around it.
- **The morning** — the highest-quality two hours. Real participation, real follow-through; this is where the desk works.
- **Midday** — participation drains, moves shrink and lie. The desk's rule: the morning pays, midday charges.
- **The afternoon** — flows return into the close; the day resolves its open question — did we accept above or below yesterday's business?

After the close, the session becomes a story you can retell in three sentences: where it opened, what it attempted, what it accepted. If you can't retell it, you weren't reading it — you were staring at it.

MODULE / 03

Liquidity

01 Where orders rest

02 Sweeps and traps

03 Why price really moves

04 Volume, the basics

05 The open, explained

Where orders rest

Liquidity is not a metaphor. It is **resting orders** — real size sitting in the book, waiting. Two kinds matter: **limit orders**, placed by traders willing to transact at a better price, and **stop orders**, placed by traders already in a position who will be forced out if price reaches them. Stops are the important ones, because a stop is an order to trade *with* the move that hurts you — a buy stop above the market, a sell stop below it.

Where do stops cluster? Exactly where this course already taught you to look: just above obvious highs, just below obvious lows, behind round numbers, behind yesterday's extremes. Every "obvious level" that a thousand retail charts display is also a **map of where forced orders sleep**.

Shift your reading one level up: stop seeing highs and lows as walls, and start seeing them as **fuel depots**. Price is drawn toward resting orders the way water is drawn downhill, because resting orders are the counterparty big players need to fill size. That single idea reorganizes everything you see on a chart.

Sweeps and traps

A **sweep** is the harvest: price pushes through an obvious level, detonates the stops resting behind it, fills the aggressor's size against those forced orders — and then leaves. On the chart it prints as a wick through the level with a fast reclaim. The level "broke" for thirty seconds and the move happened in the opposite direction.

A **trap** is the same event seen from the loser's chair: the breakout trader who bought the push above the high is now long, alone, at the top, and his exit is the fuel for the reversal. Failed breakouts are not noise; they are the market's most repeatable story, because they are built from the most predictable force there is — other people's pain.

The practical discipline: when price approaches an obvious level, do not ask "will it break?" Ask **"who is forced to act here, and which side of their forced action do I want to be on?"** The desk does not chase the sweep; it waits for the sweep to finish and prove itself. Patience at the exact place where everyone else is forced to hurry — that is the whole personality of this firm, in one image.

Why price really moves

Price does not move because "there were more buyers than sellers" — every trade has both. Price moves because of **imbalance between aggression and patience**: market orders demanding immediacy, versus limit orders providing it. When aggressive buying eats every offer at one price, the auction moves up to find the next seller. That is the entire mechanism.

From that mechanism, three consequences the desk trades by:

- **Fast moves come from vacuum** — price accelerates where resting orders are thin, and stalls where size is stacked.
- **Follow-through needs fuel** — a real move keeps finding fresh aggression; a sweep exhausts its fuel in one burst and dies.
- **Effort vs result is readable** — heavy volume that moves price nowhere means someone patient is absorbing someone aggressive. The patient side usually wins.

You will never see the whole order book's intent, and you don't need to. Structure (module 02) tells you where forced orders live; the tape's behavior at those places tells you which side just lost. That combination is enough — and it is honest.

Volume, the basics

Volume is participation: how many contracts changed hands in the window. It answers one question price alone cannot — **how much conviction paid for this move?**

- ♦ **Expansion with volume** — the move is funded; strength is real.
- ♦ **Expansion without volume** — price drifted through emptiness; suspicious, easily reversed.
- ♦ **Climax** — an extreme candle on extreme volume after a long move often marks the crowd arriving last; endings, not beginnings.
- ♦ **Dry-up** — shrinking volume in a pullback says the counter-move lacks sponsors; the trend likely resumes.

One layer deeper lives **delta** — the split between volume traded at the offer (aggressive buying) and at the bid (aggressive selling). Delta lets you see divergence: price makes a new high while aggressive buying shrinks — the push is running on fumes. You do not need delta to pass this course; you need to never read volume in isolation. Volume confirms or denies what structure proposes. Alone, it is a number; next to structure, it is testimony.

The open, explained

The New York open is the day's great liquidity event: overnight positions meet the cash session's full participation, and every gap or overnight imbalance must finally be voted on with real size. The first minutes define an **opening range** — the initial high and low that becomes the day's first real level pair.

Three archetypes cover most opens:

- ♦ **Drive** — the market opens and leaves, one-directional, barely retesting. Conviction arrived pre-loaded; fighting it is expensive.
- ♦ **Auction** — the market rotates around the open, testing both sides, hunting the overnight stops one direction, then often reversing through the range once that fuel is spent.
- ♦ **Rejection** — the market opens inside or near yesterday's business, tests out of it, fails, and returns — the failed test defines the day.

The desk's relationship with the open is disciplined on purpose: the open is **observed before it is traded**. The first minutes are the most information-dense and the least forgiving of the whole day — the moment where beginners donate fastest and where patient traders collect the map they will use for the next two hours.

MODULE / 04

The setup

01 What a setup is – conditions, not opinions

02 Waiting for confirmation

03 When there is NO trade

04 Checklist thinking

05 One setup, known by heart

What a setup is — conditions, not opinions

An opinion is "I think it goes up." A setup is "IF this list of observable conditions is true, THEN I execute this exact plan." The difference is not style; it is the difference between trading and guessing.

A complete setup always answers four questions, in writing, before the session:

- **Context** — what kind of day and regime must be in progress?
- **Location** — at which level or zone is the trade even allowed to exist?
- **Signal** — what exact, binary event flips the setup from watching to valid?
- **Invalidation** — what price proves the idea wrong, before entry is ever taken?

Notice what a setup removes: prediction. You are no longer required to know what the market will do — only to recognize, honestly, whether your conditions are present. The market becomes a series of yes/no questions instead of an argument. That is a profound psychological unload, and it is the reason disciplined traders look calm: they are not smarter; they have **fewer decisions** to make.

The desk trades its own house setup with its own signal tools. Their exact parameters are handed to members personally — but every setup on earth, ours included, reduces to these four questions.

Waiting for confirmation

Between "my zone is being touched" and "my conditions are complete" lives the gap where most accounts die. Entering at the touch feels sharp — better price, more size, the fantasy of the perfect bottom-tick. What it actually buys you is a position **before the market has voted**, which means your stop is a guess and your thesis is hope.

Confirmation is the market doing the specific, observable thing your setup demands — the reclaim, the failure, the signal completing. Yes, confirmation costs you ticks: you will never enter at the extreme, and sometimes the move leaves without you. That cost buys three things worth far more than ticks: a **defined invalidation** (the structure that confirmed is the structure your stop lives behind), a dramatically **better hit rate**, and — quietly the most valuable — **evidence over impulse** as the lifelong habit of your hands.

Write this on the desk: **the trade must come to you and prove itself. You never go to the trade.** The patience that feels like weakness in the moment is, measured over a hundred trades, the strongest thing you own — the lion only moves when the watching stops.

When there is NO trade

The market owes you nothing daily. Some sessions your conditions simply never complete — the context is wrong, the level never gets tested, the signal never fires. On this desk that outcome has a name and a status: it is called a **valid day**, executed perfectly.

The beginner's disease is inventing a B-grade trade because the A-grade never showed. Understand the arithmetic of that mistake: the profits of the few real setups get spent financing the many invented ones, and the journal that could prove your edge fills with noise until the edge is invisible even to you. One forced trade does not cost one stop — it costs **the statistical clarity of everything else you do**.

Practical protocol for the no-trade day: the levels get marked, the plan gets written, the session gets watched, the journal gets its entry — *"conditions did not complete; no trade; plan respected"* — and that line is logged as a **win of process**. The desk's own terminal counts a planned no-trade day as discipline, not as absence. Sitting on your hands, on purpose, in front of a moving market, is a skill. Train it like one.

Checklist thinking

Aviation made flying the safest way to travel with one boring tool: before every takeoff, a pilot with ten thousand hours still reads the checklist out loud. Not because they forgot how to fly — because **under pressure, memory and judgment degrade precisely when they matter most**. Markets are pressure. Your checklist is your cockpit.

The trading checklist is your setup's conditions written as binary questions — each answerable yes/no by looking, none answerable by feeling:

- Context present? · Location reached? · Signal complete? · Invalidation defined?
- Size calculated from the stop — not from confidence?
- Daily limits untouched — am I even allowed to trade?

Any "no" means no trade. Not "probably", not "close enough" — the checklist has no partial credit. Its deepest function is not organization; it is that it moves the decision out of the emotional moment. You decided the rules calmly, before the open; the checklist just checks whether reality matches them. The trader who negotiates with his checklist mid-session has fired the calm version of himself and hired the excited one — the exact person the market eats.

One setup, known by heart

The apprentice collects setups; the professional deletes them. This desk teaches **one setup, mastered to reflex** — and the reasoning is statistical before it is stylistic.

An edge only exists as a **sample**. Twenty occurrences of one setup, logged identically, is data — you can measure its hit rate, its average R, its best hours, its failure patterns, and improve it. Twenty trades spread across five setups is four occurrences each: statistically nothing, forever. The trader with five setups is permanently a beginner in all of them, and his journal can never tell him which one is bleeding.

"Known by heart" has a physical meaning: you have seen your setup so many times — live, in replay, in the journal — that recognition is instant, and hesitation disappears not through courage but through **familiarity**. Doubt at the trigger is almost never a psychology problem; it is a sample-size problem wearing a costume.

Boredom is the tax. The market will show you brilliant days that do not fit your lane, and watching them pass hurts. Pay the tax. Depth compounds; variety just spends.

MODULE / 05

The entry

01 Triggers and timing

02 Stop placement

03 Position sizing

04 One good entry a day

05 The execution routine

Triggers and timing

The trigger is the final domino: the last condition of the setup completing, on the execution chart, in real time. Everything before it was preparation; the trigger is the only moment where a click is allowed. Define it so precisely that **a stranger given your rules would click within the same seconds you do** — if two honest readings of your trigger are possible, it is not a trigger yet; it is a mood.

Timing discipline cuts both ways. **Early is wrong**: entering "because it's about to trigger" means entering without the information the trigger exists to provide — you paid for confirmation and then refused the goods. **Late is also wrong**: chasing a trigger that completed a minute ago buys a worse price with the same stop, which silently shrinks your R multiple until the math of your edge breaks. The trigger is a moment, not a region.

If it triggered and you froze — you missed it. Log the miss honestly and wait. The market prints your setup again; it never refunds a chase.

Stop placement

The stop is not where pain becomes unbearable. The stop is **the price at which your idea is objectively wrong** — behind the structure that made the trade valid. If you entered on a reclaim, the stop lives beyond the swing that reclaimed; if the market returns there, the story you paid for no longer exists, and you want out automatically, without a meeting with your feelings.

Order of operations — this is law: **structure decides the stop, the stop decides the size**. Never backwards. The trader who moves his stop closer "to afford more contracts" has quietly replaced his setup's invalidation with his wallet's, and will be stopped out by noise inside a trade that was never wrong.

Two corollaries. Give the stop room to breathe — a stop placed exactly at the obvious pivot sits inside everyone else's stop cluster, the first place sweeps reach. And once placed, the stop only moves **in your favor**. Widening a stop mid-trade is not adjusting; it is refusing the answer you asked the market to give you.

Position sizing

Sizing is where the modules meet the calculator, and it is gloriously mechanical. Three inputs, one output:

STEP	QUESTION	EXAMPLE
1 • Risk	dollars I accept losing if the stop hits	\$100
2 • Stop	points from entry to invalidation	20 pts
3 • Value	dollars per point per contract	MNQ = \$2
= Size	risk ÷ (stop × value)	100 ÷ 40 = 2 MNQ

Read the direction of causality: risk was chosen calmly in the plan; the stop was dictated by structure; size is just the quotient. **Size is never an input**. The moment you pick contracts first and bend the stop around them, the entire risk architecture of modules 04–06 collapses into decoration.

Note what this makes constant: every trade risks the same dollars whether the stop is 8 points or 40. Tight stop, more contracts; wide stop, fewer. Your equity curve stops caring about stop distance and starts reflecting the only thing it should: whether your setup works. Fractional results round **down** — 2.7 contracts is 2. Always down.

One good entry a day

The desk's most famous rule, and its most misunderstood: **one trade per day**. It is not a punishment; it is edge-engineering, and the mechanism deserves to be understood rather than obeyed blindly.

First, it deletes revenge trading at the root — the second trade after a loss is statistically the worst trade retail takes, entered to repair a feeling rather than to exploit a condition. No second bullet, no revenge. Second, it repairs quality upstream: knowing you own a single shot, you become brutally selective — B-setups stop being tempting because they would *spend* the day. Third, it caps the damage of your worst state: your most destructive sessions in history were never one loss; they were one loss multiplied by tilt.

One trade, win or lose, then flat — review, journal, close the screens. A green day ends because giving profits back to boredom is a tax with no service attached. A red day ends because the version of you that exists after a loss has worse judgment and more motivation — the market's favorite customer.

The execution routine

Excellence in execution is boring, and that is the point: the same minutes, in the same order, every session, until the routine is the trader.

- **Before the open** — levels marked, plan written, risk numbers set, platform checked: correct contract, correct size defaults, brackets armed.
- **During the wait** — observe, annotate, do nothing. The hands stay off the mouse; the checklist stays on the desk.
- **At the trigger** — execute the pre-written plan with a bracket: entry, stop and target placed as one action. No naked positions, ever, even for seconds.
- **In the trade** — the plan manages, not the pulse. No stop-widening, no panic exits at noise, no improvised adds.
- **After** — screenshot, journal entry, close. The trade is over when it is written, not when it is closed.

Why brackets are non-negotiable: the seconds after entry are your emotional worst — adrenaline decides fast and badly. The bracket means every decision that matters was made by the calm pre-market version of you. The in-trade version is just a witness.

MODULE / 06

Risk

01 The daily stop

02 Risk per trade

03 Drawdown math

04 Burn days and the road back

05 Protecting the payout

The daily stop

The daily stop is a fixed dollar amount that, once lost, ends the session — screens closed, done, no appeal. It exists because the per-trade stop protects you from a bad trade, but nothing in the market protects you from a bad *day*: the state where judgment is compromised and each loss manufactures the urgency for the next.

Its power is entirely in its **pre-commitment**. Decided calmly, written in the plan, it requires no strength in the moment — the decision was already made by a smarter version of you. The trader who "decides at the moment" whether to keep going has no daily stop; he has a suggestion, and suggestions lose to adrenaline every time.

Under the desk's one-trade rule the daily stop and the trade stop often coincide — and that redundancy is intentional. Rules that overlap catch each other's failures. The day you break one rule, the second one is standing behind it. That layering is what makes a system, instead of a mood, the thing that trades your account.

Risk per trade

Risk per trade is the fixed fraction of your account you expose to a single stop — professionally, one to two percent, and on funded accounts often less, because the firm's drawdown is tighter than the math of ruin. The number matters less than its **constancy**: the edge you measured in your journal was measured at a risk level, and changing risk trade-to-trade invalidates your own statistics.

Understand why small constant risk is not timidity — it is survival arithmetic. Losing streaks are not failures of a working edge; they are **guaranteed features** of one. A 55%-win-rate system will still print five losses in a row routinely. At 1% risk, five straight losses cost about 5% — annoying, recoverable, psychologically survivable. At 10% risk, the same routine streak destroys 40% of the account and approximately all of your judgment.

The doubling trap deserves its own sentence: increasing size to "win it back faster" converts a routine streak into ruin, mathematically and always. Size goes up for one reason only — the journal earned it — and never inside a losing week.

Drawdown math

Drawdown is the distance from your equity peak to the current valley — and its cruelty is asymmetric. Losses and gains are not symmetric percentages:

Loss from Peak	Gain Required to Recover
5%	5.3%
10%	11.1%
20%	25%
33%	50%
50%	100%

Read the table until it changes your priorities. Deep drawdowns are not a slower road back; they are a **different road** — one that must be traveled with damaged confidence, at reduced size, under time pressure. The professional's conclusion is upstream: the game is not maximizing wins; it is **refusing the deep valley**, which is precisely what fixed risk per trade and the daily stop conspire to do.

On funded accounts the table turns lethal: the firm's max drawdown ends the account long before the mathematics gets hard. A \$50k account with a \$2,000 trailing limit is not a \$50k account — it is a \$2,000 account wearing a costume, and every risk number you choose must be chosen against the \$2,000.

Burn days and the road back

A **burn day** — the desk's terminal marks them with fire — is a day that ended at the daily stop. The mark is not shame; it is **data made visible**. Burn days cluster, and the cluster always has a cause: a rule got optional, size crept, a news day got traded, sleep got short. One burn day is variance. Three in two weeks is a pattern demanding an audit.

The **road back** is the desk's protocol for what follows, and its logic inverts every instinct: after damage you go **smaller**, not bigger. Half size until a set number of clean, rule-respecting sessions rebuilds the evidence. The account needs the gains; the trader needs the proof; and hurry is the enemy of both. The terminal draws this literally — a path from the valley back to the peak, walked in days, not in hero-trades.

Respect what the instinct to "make it back today" actually is: the same force that built the drawdown, asking for the keys again. The road back is walked slowly *because* it is walked once. The fast version gets walked over and over, each time from deeper.

Protecting the payout

There is a specific moment where funded traders die at extraordinary rates: **close to the payout**. The finish line changes the game in the trader's head — from "execute my process" to "don't lose what I almost have" — and scared trading breaks process precisely when process was about to pay.

The protocol is mechanical, so the head can stay out of it:

- **Buffer first** — the first profits build cushion above the drawdown line; you take real risk only with the firm's money, never with the payout's.
- **Reduce into the line** — approaching the payout threshold, size goes down. The last hundred dollars are earned at minimum risk, because their job is arithmetic, not glory.
- **Respect payout rules as trading rules** — minimum days, consistency requirements: they are part of the setup now. A payout lost to an administrative rule is a full trading loss with extra embarrassment.
- **Take it** — money inside a funded account is a score; money withdrawn is money. The desk celebrates payouts, not balances.

And after the payout, the account keeps its discipline — because the account that paid once is the account most worth keeping alive. Module 08 finishes that thought.

MODULE / 07

The journal

01 Why every trade is written

02 What to log, exactly

03 Reviewing your week

04 The metrics that matter

05 The month, day by day

Why every trade is written

Memory is a defense attorney, not a historian. It remembers your wins vividly, files your rule-breaks under "exceptions", and quietly rewrites last month to match this month's mood. Every trader believes he knows how he trades; the journal is the only witness that isn't lying to him.

Written trades convert experience into **evidence**. Twenty logged occurrences of your setup are a measurable sample: hit rate, average R, time-of-day patterns, the specific condition that was present in every loser. Twenty remembered trades are a feeling. The desk's motto — *every trade, written* — is not bookkeeping culture; it is the entire mechanism by which a trader improves, because **you cannot fix what you refuse to see, and you cannot see what you didn't record**.

There is also a quieter effect, and every journaling trader knows it: the journal polices in real time. Mid-session, about to improvise, you hear the entry you would have to write — *"entered without signal, again"* — and the click dies in your hand. A trade you would be ashamed to log is a trade you already know not to take.

What to log, exactly

A useful entry is structured — the same fields, every trade, no essays required:

- **The facts** — date, instrument, direction, entry, stop, target, exit, size, session window.
- **The R** — planned risk in dollars, result as a multiple of it. A +\$80 win risking \$100 is +0.8R; R is the only unit that makes trades comparable.
- **The evidence** — a screenshot at entry and one at exit. In review, the picture beats the memory, every single time.
- **The state** — one honest line: calm, anxious, rushed, revenge-tempted. Patterns of state predict losses better than patterns of price.
- **The flags** — did any rule bend? Entered without full conditions? Moved a stop? Flags are gold: they are your future losses, announcing themselves early.

And on the days without trades: the no-trade entry — *conditions absent, plan respected*. The desk's terminal automates the arithmetic — P&L, R, violations, streaks — precisely so the human only owes what automation cannot supply: the screenshot and the honesty.

Reviewing your week

Logging without review is a diary. The weekly review — fixed day, fixed hour, markets closed — is where the journal becomes a coach. The ritual is four questions, in order, and the order matters:

- **Did I follow the rules?** — discipline first, always before profit. A green week of broken rules is a red week in incubation; a red week of perfect process is variance doing its job.
- **What do the flags say?** — count them, name them. Two "entered early" flags is a pattern with a name, and next week it becomes a specific instruction.
- **What does the sample say?** — hit rate, average R, best and worst behavior, time-of-day tendencies. Let the numbers argue with your feelings and win.
- **One instruction** — the review ends with a single, concrete sentence for next week. One. "Wait for the full signal on every entry." Five instructions are zero instructions.

Review with screenshots open, not from memory. And review red weeks with the same posture as green ones — the journal is a laboratory, not a courtroom. The goal every Sunday is one truth you didn't have on Monday.

The metrics that matter

Five numbers, measured on a real sample, tell you almost everything:

Metric	What it answers
Win rate	how often you're right — meaningless alone
Avg win / avg loss	how you're paid when right vs charged when wrong
Expectancy	$(win\% \times avg\ win) - (loss\% \times avg\ loss)$: dollars per trade, the edge itself
Profit factor	gross wins ÷ gross losses; above ~1.3 sustained, you have a business
Discipline %	trades executed fully by the rules — the desk's most watched number

The pair to internalize is win rate *versus* payoff: a 40% win rate with 2R winners prints money; a 70% win rate with tiny wins and occasional -3R disasters goes broke — while feeling great. Never evaluate either number without its partner.

And why discipline sits on the throne: on a twenty-trade sample, expectancy is still noisy — but discipline is measurable from trade one, and every other metric is **meaningless if the process that generated it keeps changing**. Measure the following of rules first; the money statistics only acquire meaning once the rules hold still.

The month, day by day

The monthly calendar is the journal's wide shot: every day a cell, every cell a verdict — green, red, flat, or marked. On the desk's terminal the calendar carries the house symbols: the **flame** on burn days, the **flag** on days with violations, the quiet cells of planned no-trade days. One glance answers questions a table of trades cannot: do reds cluster on Mondays? Did the burn days arrive in pairs? Is the month's profit three good days and twenty of churn?

That last discovery is nearly universal and changes careers: **a handful of days make the month**. The corollary cuts deep — most of the damage comes from days that didn't need to be traded at all. The calendar makes overtrading visible as geography.

Month-end closes the loop with the same discipline as the weekly, one level up: the month's expectancy joins the ledger, the discipline percentage gets judged, and one structural instruction survives into the next month. Trading is a business; month-end is when the business reads its books.

MODULE / 08

Funded accounts

01 How evaluations work

02 Firm rules that matter

03 Trailing vs EOD drawdown

04 Payout rules

05 Keeping the account alive

How evaluations work

A funding firm sells a simple deal: pay a small evaluation fee, trade their simulated account by their rules, and if you reach the profit target without touching the loss limits, they fund you — you keep the majority of future profits, they keep the risk. For a skilled trader without capital, it is genuinely the cheapest leverage on earth. For an unskilled one, it is a subscription to hope.

Every evaluation is the same four numbers wearing different logos: a **profit target** (commonly 6–8% of nominal size), a **maximum drawdown** (the real account size — module 06 already taught you a \$50k eval with a \$2k limit is a \$2k account), a **daily loss limit**, and a **minimum number of trading days** so you cannot pass on one lucky swing.

The founding insight of this desk: the evaluation is not a race, it is an **audition of discipline** played against tight math. The all-in pass attempt fails a hundred times for every time it works, and the fee is repriced each attempt. The trader who treats day one of the eval exactly like a funded day — same size, same rules, same patience — passes slower and only once.

Firm rules that matter

The rules PDF is boring; account deaths by rule are not. Beyond the four headline numbers, these are the clauses that actually kill accounts, and they differ by firm — read yours like a lawyer:

- **Consistency rules** — no single day may exceed a set percentage of total profit (30–50% at many firms). They outlaw the hero day: a monster Monday can literally make your account *unpayable* until you grind the ratio back down.
- **News restrictions** — some firms void trades or accounts around major releases. If your window overlaps the calendar, the calendar wins.
- **Inactivity clauses** — accounts expire untended; funded accounts usually require a trade every set number of days.
- **Scaling plans** — contract limits that grow with cushion; exceeding your tier's size is a violation even in a winning trade.
- **Platform-dependent behavior** — the same firm's drawdown can behave differently by platform; the desk verifies each rule against the firm's own document, current version, before the first trade.

The house habit: the rules of your firm are written into your trading plan as conditions — the same status as your setup's conditions. A rule you have to remember mid-trade is a rule you will eventually break.

Trailing vs EOD drawdown

Two accounts with "the same" \$2,000 drawdown can be entirely different animals. The difference is **when the line moves**.

- **Intraday trailing** — the limit trails your equity peak *including open profit*. Run +\$800 unrealized and give it back, and the line rose \$800 while you watched. The harshest variant: it punishes letting winners breathe.
- **End-of-day trailing** — the line moves only at the close, on realized balance. Open-profit excursions don't drag it; managing a winner is safe again.
- **Static** — the line never moves from the initial threshold. Rarest and kindest; every dollar of cushion you build is truly yours.

With most trailing schemes the line rises until it **locks** — typically at initial balance plus the drawdown amount — after which the account behaves statically. Reaching the lock is a real milestone: the desk plays visibly more conservative before it, freer after.

The strategic consequence is blunt: an intraday-trailing account demands taking profits mechanically and hates the home-run manage; an EOD account tolerates it. Know which animal you are riding **before** you design how you'll exit winners — not after the line has eaten one.

Payout rules

Passing funds the account; the payout rules decide when the money becomes yours. The recurring shapes:

- **Minimum days** — a set number of trading (often winning) days between payouts; patience is a written requirement, not a virtue.
- **Buffers** — many firms require cushion above the drawdown line before the first withdrawal, and cap how much of the balance can leave.
- **Splits** — traders commonly keep 80–100% of early profits; the split and its schedule are contract terms worth knowing to the letter.
- **Caps and lifetimes** — some firms limit payout size, frequency, or even the total number of payouts an account can ever produce. A lifetime cap changes the entire strategy of which accounts you grow.
- **Consistency at the gate** — the payout request re-audits the ratio rules; the hero day that inflated the balance can block the door on the way out.

The desk's arithmetic habit: before the first trade of the cycle, write the number that actually matters — *how many clean days at my daily target reach the next payout?* That number, not the balance, is the scoreboard. And the standing rule repeats from module 06 because it pays twice: **money withdrawn is money; money in a funded account is a score.**

Keeping the account alive

The statistic the industry does not advertise: most funded traders lose the account **after** passing — usually within weeks. The evaluation's structure imposed discipline; the moment it ends, the trader relaxes, sizes up "because it's real now", and meets the same drawdown math with a worse attitude.

The desk's answer is a single sentence: **nothing changes on funding day.** Same size, same one-trade rule, same daily stop, same journal. The account's job in month one is not to make you rich; it is to build the buffer that makes it hard to kill. Every dollar of cushion above the line converts the account from fragile to durable — buffer first, glory later, exactly as module 06 ordered.

Funded reality also means living permanently under the firm's clauses: the news windows, the consistency ratios, the inactivity clock. Sustainable rhythm beats heroic sprints — the goal was never to pass an evaluation. The goal is a funded account that pays, survives, and compounds into the next one; the desk grows as a **fleet**, and fleets are built from accounts that refused to die.

End of the written companion. The recorded modules walk every one of these pages on live charts — and the seat at the desk is where the watching becomes practice. The door, as always, is the Discord.

NORTHPOINT

TRADER BACKING

PATIENCE IS THE EDGE